

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

Let's break down the problem step by step .

Josh :

- Buys a house for \$ 80 , 000 .
- Spends \$ 50 , 000 on repairs .
- The repairs increase the house 's value by 150 % (150 % of the original value) .

We are to find the **profit**, which is :

> Profit = Final value of house − Total cost (purchase price + repair cost)

Step 1 : Original value of house
Original purchase price : **\$ 80 , 000**

Step 2 : 150 % increase in value

A 150 % increase means the new value is :

> 100 % + 150 % = 250 % of the original value

So new value = 250 % of \$ 80 , 000
= \$ 80 , 000 × 2 . 5
= \$ 200 , 000

∴ Final value of house after renovation = \$ 200 , 000

Step 3 : Total cost
- Purchase price : \$ 80 , 000
- Repair cost : \$ 50 , 000
∴ Total cost = \$ 80 , 000 + \$ 50 , 000 = \$ 130 , 000

Step 4 : Profit
Profit = Final value − Total cost
= \$ 200 , 000 − \$ 130 , 000
= **\$ 70 , 000**

∴ Final Answer :

< answer > 70000 </ answer >

